its life. The amount of depreciation is credited to an account called Sinking Fund or Depreciation Fund account which is shown on the liabilities side of the balance sheet. This amount is invested in securities.

Every year the amount set aside for depreciation along with the interest is again invested. The amount so invested is debited to an account known as Sinking Fund Investment Account and these investments are shown as an asset in the Balance Sheet. The amount of depreciation remains the same for the year.

The rate of interest available from investments and the time required for replacement of the asset enables to determine the amount of depreciation. A reference to Sinking Fund Table gives the extra amount of depreciation to be charged every year. The investments are sold when the asset is due for replacement and the amount so received is used for purchasing the new asset.

The value of asset is shown at its original cost in all years. In the last year, the asset is written off by transferring it to Depreciation Fund Account.

This method is suitable where intention is not only to provide depreciation but also to provide for its replacement as happens in case of Plant and Machinery and many wasting assets.

ADVANTAGES

1. This method sets aside certain amount for replacement of asset by maintaining separate provision.
2. The sale proceeds of the investments are useful for replacement of the asset.
3. This method helps to strengthen financial position of a concern.

DISADVANTAGES

1. This method creates complication and burden on funds each year as they are invested outside.
2. Prices of securities may fall at the time when they are to be realized as a result of which loss may have to be suffered.

5. INSURANCE POLICY METHOD

In this method an insurance policy is purchased for the value of the asset. This policy is taken up for the life of the asset and it matures at a time when the asset is to be replaced. The amount provided for depreciation is paid towards insurance premium. The amount of premium remains the same in all the years. On maturity of the policy, insurance company will pay the amount and the amount will be used for replacing the asset.

ADVANTAGES

1. Funds are readily available for replacement of the asset.
2. Funds are not used for other purposes as they are invested outside.
3. There is no risk in getting back the money as the policy is taken with the insurance company.

DISADVANTAGES

The drawback of this method is that it creates an increasing burden on the funds of each year as they are invested outside.

6. REVALUATION METHOD

In this method the amount of depreciation is calculated by revaluing the asset at the end of each year. The difference between the value of the asset at the beginning and at the end of the period is taken as depreciation. There can be an appreciation in value too. The amount of appreciation is

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